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### Case #1

**Company:** N/A

**Topic:** Market Estimation

**Industry:** Misc/Small Business

### About the Case

*This is a market estimation case. The case is based off estimations and the candidate's ability to work with those estimations. While there are no right/wrong answers in market estimation cases, the interviewer usually has a range of 'correctness', if you will. Your answer should fall within interviewer's estimate to the extent that your assumptions are realistic.*

### Defining the Problem

How many piano tuners are there in Chicago?

**Prompt: Solution approach** – Ask the candidate to walk you through his thought process – top-down, bottom-up. Once his /her structure is in place, ask him/her to compute the calculation. Various methods may be used to estimate the answer; one approach is outlined below.

### Suggested Answer

- Assume 3 million households in the Chicago area
- Make an estimate of how many people have pianos. Break the income of the households into four quarters (750,000 each).
  - 20% of highest income quartile has pianos
  - 10% of second quarter
  - 5% of third
  - 0% of fourth

- Estimate how often these pianos are tuned:
  - Highest income quarter tunes pianos once a year
  - Second quarter once every five years
  - Third quarter once every 10 years
  - Fourth quarter doesn't tune at all
- Estimate a piano tuner can tune five pianos a day, 250 days a year, therefore  $112,500/250 = 450$  pianos a day to tune  $450/5 = 90$  pianos tuners needed.
- Sanity Check: The yellow pages would be a credible source to check the actual number of piano turners in Chicago. Also it is fair to add another 50% to that figure assuming that some piano turners might rely on word-of-mouth advertising. By the way there are 51 piano tuners listed in the Chicago Yellow Pages.

### Author's Commentary/Notes

*Market estimation cases have no right or wrong answer, rather the interviewer is looking for a logical approach and structure to the candidate's problem-solving skills. Always clarify the assumptions that you make. The above solution is just one of many ways to answer this question.*



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## **Case #2**

**Company:** BCG (Round 2)

**Topic:** Market Entry

**Industry:** Airlines

### **About the Case**

*This is a market entry case where candidate is required to evaluate the feasibility of a new product in conjunction with the airline industry. The candidate should use a comprehensive framework, walk the interviewer through it and be prepared for analytical detours throughout the flow of the case. The calculations represented here are only one approach and interviewees may take other approaches, depending on the assumptions made. The interviewer should be mindful of this and allow for flexibility.*

### **Defining the Problem**

Our client is a start-up with the ability to deliver broadband internet to commercial airlines. How would you help them think about their offering?

### **Information Gathering**

*Read this information well before you administer the case. Share the information in each bullet only if the candidate asks for it in a clear and deliberate way. Listen to the candidate's basic framework. If the candidate mentions one of these, mention the information in parenthesis. This part of the interview is unstructured so be prepared to jump from one idea to the next.*

**Prompt 1: Industry and Market Size** -The candidate should include the industry and market size in his/her framework.

Information to be given if asked:

- Broadband for the airlines: There is general interest in the broadband internet from the airline industry. The start up would have to invest relatively little up front and would keep most of the revenues. They would charge the customers on a per flight pricing model.
- Size of the Market: Ask the candidate to estimate the market size and hand over the first **Exhibit 1**. Also inform the candidate that there are 3000 planes.

Answer:

|                      | First | Coach |
|----------------------|-------|-------|
| Seats per plane      | 20    | 180   |
| x load factor        | 0.75  | 0.75  |
| =                    | 15    | 135   |
| x business travelers | 100%  | 30%   |
| Laptop users/plane   | 15    | 40.5  |

Total laptop users/plane = 55.5

3000 planes x 2000 legs/plane x ~50 laptop users/plane = 300,000,000 approximate annual potential user-legs.

**Prompt 2: Pricing** - In order to finish the market size, the candidate should ask for the price per flight. Hand out **Exhibit 2** and ask candidate to set the price.

Answer:

Assume 100 passengers (for ease) at the various price/penetration combinations,

30 users at \$5=\$150/flight

25 users at \$10=\$250/flight 20 users at \$15=\$300/flight

10 users at \$20=\$200/flight

5 users at \$25=\$125/flight

Set price at \$15.

**Prompt 3: Break Even** – *Given the information already revealed in the case and the information below the candidate should calculate a break-even point.*

*Information to be given if asked:*

- The company has discovered that if they can generate \$250,000 per plane in annual revenue, they will be profitable installing the technology on that plane.

Answer:

$250,000 / 2000 \text{ legs/plane} = \$125/\text{leg}$

$\$125 / \$15$  about 8 users/leg

50 laptop users/leg, and at \$15, there's a penetration rate of 20%, so we estimate 10 users/leg.

Yes, they should break even.

**Prompt 4: Other factors** – *Probe the candidate for breadth and understanding of new market entry. Ask him/her about the following aspects of this project.*

**Competition** – The interviewer should probe deeper into the competition especially w.r.t. Intellectual Property. For this case, the company has the patent on the high speed connection. But, what about low-speed?—Airlines

**Risks** – Ask the candidate which risks are associated with the business model. Use your judgment when considering their answers.

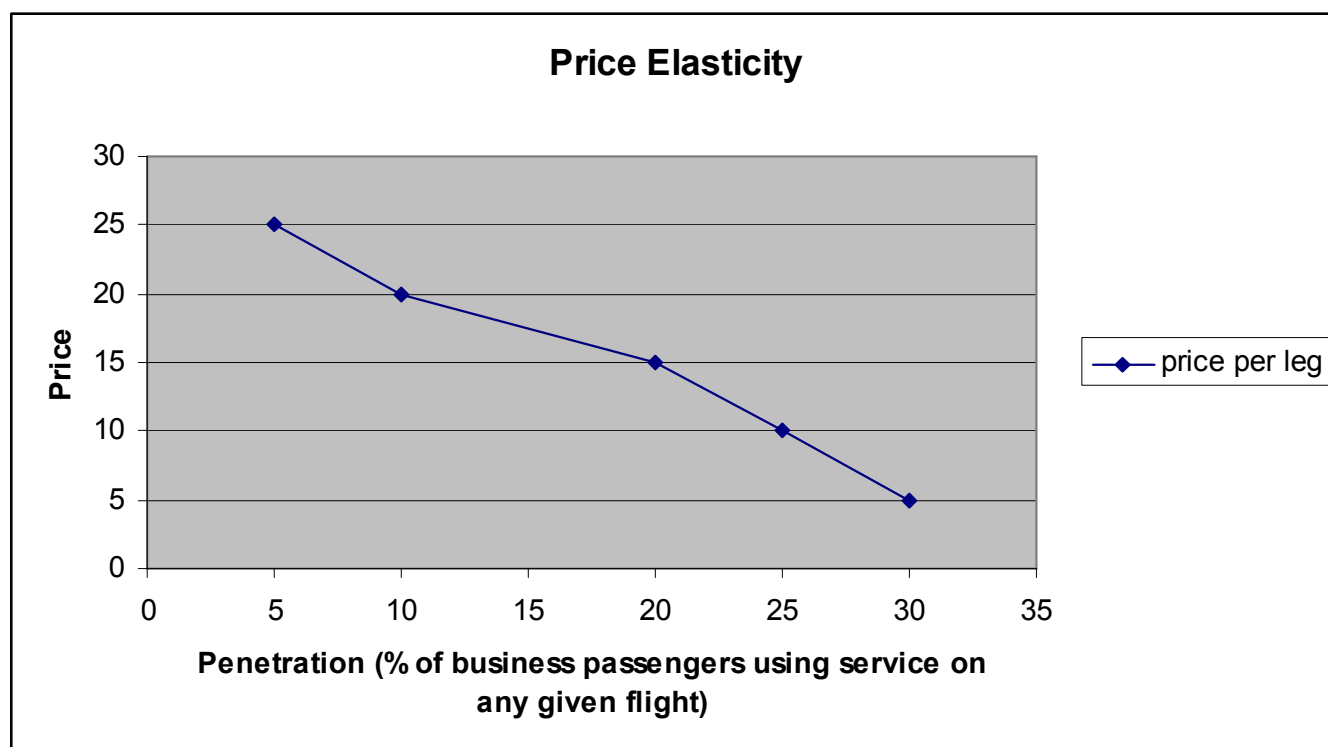
### **Interviewee's Commentary/Notes**

*Like some cases, we just crunched numbers until we were out of time. He had a lot of different exhibits. There was no way someone could get through all of them. Cases don't always flow neatly. The interviewer will jump around and direct you where he wants to be at that particular time. Other people who did the case the same day talked about different things. He also didn't ask me to wrap up. When I got feedback on the case, he told me I did a really good job, so don't let things like that bother you.*

## Exhibit 1

|                                                                                      |      |  |                        |      |
|--------------------------------------------------------------------------------------|------|--|------------------------|------|
| Exhibit 1                                                                            |      |  | Passenger mix by cabin |      |
|                                                                                      |      |  | <b>First</b>           |      |
| Annual flights legs per plane                                                        | 2000 |  | Business               | 100% |
| Average seats per plane                                                              | 200  |  | Leisure                | 0%   |
| Average load factor                                                                  | 75%  |  |                        |      |
| Cabin seating:                                                                       |      |  | <b>Coach</b>           |      |
| First class                                                                          | 10%  |  | Business               | 30%  |
| Coach                                                                                | 90%  |  | Leisure                | 70%  |
|                                                                                      |      |  |                        |      |
| Note: 90% of business travelers carry laptops; 0% of Leisure travelers carry laptops |      |  |                        |      |

## Exhibit 2





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### **Case #3**

**Company:** Deloitte (Round: NA)

**Topic:** Accounting, operations

**Industry:** Medical Devices

### **About the Case**

*This is a financial accounting case focused on a medical device company. The discussion should be conversational but exacting on details. There are no handouts so the candidate should rely on the general data given/created by the interviewer. The basic objective of this case is to test knowledge of the Balance Sheet and how it applies to business operations.*

### **Defining the Problem**

A medical equipment manufacturer in the southeastern U.S. has called you in because it feels its working capital requirements are much higher than those of its competitors. How will you help it solve its problem?

### **Information Gathering**

*Read this information well before you administer the case. Manage the case discussion and allow the candidate to formulate a plan based on the assumptions and key evidence provided below (case-specific). Offer prompts when necessary and provide the following information if he/she responds correctly and directly to the stimulus offered.*

**Prompt 1: Financial Data** – *Have the candidate identify the CA and CL.*

Answer: Current assets consist of cash, inventory, and accounts receivable and current liabilities consist of accounts payable and short term debts.

**Prompt 2: Company Information** - *In this section provide background information on the company.*

The company is made up of three divisions. The high inventory problem can be traced to a division acquired by the client about two years ago. The division manufactures equipment for arthroscopic surgery, namely capital equipment and blades which sell are similar to razors and razor blades, just much more sophisticated and expensive.

**Prompt 3: Inventory** – *Ask the candidate to discuss possible reasons why inventories might be so high.*

Answer: sales, poor forecasting, obsolescence.

**Prompt 4: Reasons for Inventory problem** – *Explain to the candidate that technology has been changing rapidly and the rate of obsolescence is extremely high. As earlier sales forecasts (shortly after the acquisition) had been overly optimistic, the client now finds itself loaded with obsolescent finished goods inventory. Then ask the candidate to recommend correction actions to remedy the problem*

Answer:

- Determine appropriate levels of inventory such that excess inventory is reduced and customer demands are met.
- Factors that should be considered - Product demand, manufacturing lead times, customer expectations on order lead times.



**Prompt 5: Next Steps** - *Tell the candidate that the client has 2.5 years of capital equipment finished goods inventory while NONE needs to be carried since these items can be manufactured after receiving the order (i.e. The finished good product is no longer sold.) Then have the candidate wrap up the conversation.*

#### Model Answer

With respect to technology, while certain aspects of the product may have changed substantially, other are just as likely to have stayed similar to what was previously used and could be salvaged. One could dismantle the product and reuse parts to manufacture the new devices. Selling off the inventory to distributors in less advanced healthcare markets is another way to salvage some of the investment. Alternately write off the non salvageable component parts.

#### Author's Commentary/Notes

*Working capital consists of current assets minus current liabilities, then look at each element of CA and CL to find the problem. Interviewer pressed for a list of CA's and CL's before we talked more about the company details.*

#### **Case #4**

**Company:** N/A

**Topic:** Market Estimation

**Industry:** Consumer Products

#### **About the Case**

*This is a market sizing case. The case is based off estimations and the candidate's ability to work with those estimations. While there are no right/wrong answers in market estimation cases, the interviewer usually has a range of 'correctness', if you will. Your answer should fall within interviewer's estimate to the extent that your assumptions are realistic.*

#### **Defining the Problem**

How would you estimate the size of the annual U.S chewing gum market?

**Prompt 1: Solution approach** – Ask the candidate to walk you through his thought process – top-down, bottom-up. Once his /her structure is in place, ask him/her to compute the calculation. Various methods may be used to estimate the answer; one approach is outlined below.

#### **Suggested Answer**

- Population of the US: 300 million
- The heaviest users are between the ages of 10-20. They comprise roughly 20% of the population, or 60 million.
- Estimate that these people chew two packs per week. Estimate number of packs/year: 2 packs/week \* 60 million people \* 50 weeks = 6,000 million packs.
- For all other users, (80% of 300 million population, or 240 million) estimate a usage rate of one half pack per week: 0.5 packs/week \* 240 million people \* 50 weeks = 6,000 million packs.

- Adding these two figures, estimate the total chewing gum market to be  $6,000 + 6,000 = 12,000$  million (or 12 billion) packs per year.
- Now check for reasonableness. We have the volume, what about the revenue? How much is 12,000 million packs in terms of dollar sales? Estimate for average price of pack: \$0.75.  $12 \text{ billion packs} * .75 = \$9 \text{ billion}$

### **Author's Commentary/Notes**

*Market estimation cases have no right or wrong answer, rather the interviewer is looking for a logical approach and structure to the candidate's problem-solving skills. Always clarify the assumptions that you make. The above solution is just one of many ways to answer this question*

## Case #5

**Company:** NA

**Topic:** Market Estimation

**Industry:** Publishing

### About the Case

*This is a market estimation case. The case is based off estimations and the candidate's ability to work with those estimations. While there are no right/wrong answers in market estimation cases, the interviewer usually has a range of 'correctness', if you will. Your answer should fall within interviewer's estimate to the extent that your assumptions are realistic.*

### Defining the Problem

Your client is the CEO of a publishing company producing a line of educational magazines and a line of women's magazines. Both businesses are profitable but not growing quickly. He wants to start a third monthly magazine in the US targeted at 25- to 55-year-old men (e.g. GQ Magazine). His stated goal is \$12 million in circulation revenues in the first year. Is this possible?

**Prompt 1: Solution Approach** – *Ask the candidate to walk you through his thought process – top-down, bottom-up. Once his /her structure is in place, ask him/her to compute the calculation. Various methods may be used to estimate the answer; one approach is outlined below.*

### Suggested Answer

- The total US population is approximately 300 million.
- Based on a normal distribution with the average life span of 80 years, approximately 1/2 of the population falls between 25-55, or about 150 million people.
- Approximately 1/2 of them are male, or 75 million.
- Of the 75 million 25- to 55-year-old men in the country, assume that at least 1/2 would read a magazine or ~40 million.
- Given the wide range of magazines on the market assume that only 10% of magazine readers would want to read a men's journal, or 4 million target customers.

- As a new magazine assume that you can generate a 5% share of the men's magazine market in year one, or 200,000 customers.
- Based on other magazines selling for \$2.50-\$5.00, assume a cover price of \$4/magazine at the newsstand and \$2/magazine for a subscription.
- Now make some assumptions on how many customers will buy at the newsstand versus subscription: assume 50% subscribe (200,000) and 50% buy at the newsstand (400,000).
- Accordingly monthly revenues amount to \$200,000 + \$400,000 or \$600,000. For simplicity assume that all target customers buy a magazine every month. This would generate total annual revenues of \$600,000 X 12 or \$7.2 million.

**Conclusion:** In this case, given the CEO's stated goal of \$12 million in circulation revenues, it does not make good business sense to launch the magazine.

### **Author's Commentary/Notes**

*Market estimation cases have no right or wrong answer, rather the interviewer is looking for a logical approach and structure to the candidate's problem-solving skills. Always clarify the assumptions that you make. The above solution is just one of many ways to answer this question*



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## **Case #6**

**Company:** McKinsey (Round 1)

**Topic:** Profitability

**Industry:** Direct Mail Clothing Retailer

### **About the Case**

*This is a profitability case where candidate is required to evaluate the feasibility of a change in the cost structure of the product. The candidate should use a framework and walk the interviewer through it. A profitability analysis should follow.*

### **Defining the Problem**

Your client is a direct mail garment retailer that sells clothing for women. The primary selling tool for the business is the product catalog. The postage costs of your client's catalog have just increased by 0.40 cents per catalog.

How can your client decide whether this new cost is feasible for his current business model?

### **Information Gathering**

*Read this information well before you administer the case. Share the information in each bullet only if the candidate asks for it in a clear and deliberate way.*

**Prompt 1: Revenue and cost structure** - *The Interviewee should ask for revenue and cost information in order to infer profit margin.*

*Information to be given if asked:*

- Profit margin on catalog orders: 15%, excluding new mailing costs
- Postage costs: \$40 for each 100-catalog bundle mailed (100 x 0.40 cents)
- **Exhibit 1**

*The candidate should be able to deduce the following information from **Exhibit 1**.*

- Average response rate: 2%, i.e., two orders placed for every 100 catalogs mailed in 2001. This number has increased slightly over time to 3% in 2005
- Average order size: Decreased over time from \$150 to 66.67 (= 400,000/6000)
- Percentage of customers who reorder within six months: Hovering over time between 20% and 25%, on average
- Revenue and profit calculations for 2005
  - Total orders generated per 100 catalogs = orders received + reorders i.e.  $(100 \times 6000) / 200000 + 3 \times (1,500 / 6,000) = 3.75$  orders placed per 100 catalogs mailed.
  - Revenue per 100 catalogs = orders per 100 catalogs X avg. sales order  
=  $3.75 \times 66.67$  or \$250.00 in revenues.
- Cost calculations
  - Given profit margin of 15% means approximately \$250 in sales will return a profit before postage cost of \$37.50
  - This is insufficient to cover the mailing cost of \$40

**Prompt 2: Revenue per catalog** – *Ask the candidate how the client might improve the revenue per catalog metric. This is an open-ended question where the candidate is expected to brainstorm possibilities given the above analysis*

Answer: The best answer might have the candidate take some time to come up with a structured response. Examine the various aspects that affect the catalog revenue; think of a MECE solution.

One example might be modifying the product i.e. the catalog itself (bigger pictures, layout, more product selection, print in color, etc.). Client could also consider tweaking the marketing strategy through better-targeted advertising or by offering a pre-holiday sale to spur volume.

**Conclusion:** Given the present profit margin of \$37.50 per 100 catalogs, it is not feasible for the client to accept the cost increase in postage of 0.40 cents.

# **Exhibit 1: Mail Retailer Revenue Data (2001 – 05)**

| Year | No. of Catalogs Mailed | No. of Orders Received | Sales     | No. of Reorders (within six months) |
|------|------------------------|------------------------|-----------|-------------------------------------|
| 2001 | 50,000                 | 1,000                  | \$150,000 | 200                                 |
| 2002 | 100,000                | 2,000                  | \$150,000 | 600                                 |
| 2003 | 200,000                | 3,000                  | \$300,000 | 1000                                |
| 2004 | 150,000                | 3,000                  | \$300,000 | 600                                 |
| 2005 | 200,000                | 6,000                  | \$400,000 | 1500                                |





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## **Case #7**

**Company:** Accenture (Round 2)

**Topic:** Profitability; Human Capital – Incentive Program/Motivation

**Industry:** Retail Banking

### **About the Case**

*This case format was recorded in a conversational style hence no specific framework approach is used. Given the exploratory and qualitative nature of this case, the approach taken and sequence of events is dependant on the interviewer's line of questioning and alternate scenarios are certainly possible. Hence it is imperative that the interviewer be familiar with all facts and assumptions of the case, so as to be able to explore various alternative approaches that may lead interviewee to the same conclusion*

### **Defining the Problem**

Your client is a regional commercial bank and your task is to make a recommendation to improve the profitability of the retail segment of their business operations. Specifically you are required to evaluate the merits of a proposal made by the CFO - a commission-based incentive program targeted at the bank's tellers with the objective of increasing product sales. How much commission should the bank pay its tellers per unit of product sold?

### **Information Gathering**

*Read this information well before you administer the case. This case is open-ended - make the candidate come up with his/her own assumptions and estimates at every step. One set of reasonable assumptions is listed below – use these to steer the candidate back on track if they seem to be off the reservation.*

**Prompt 1: Product mix** - *The Interviewee should ask for more information about the products, without which we cannot ascertain the profitability of each product in the mix.*

*Information to be given if asked:*

The bank has four products it wants to sell in this program - CDs, Checking accounts, Mutual funds, and IRAs.

**Prompt 2: Revenue stream** – *Ask the interviewee the specific sources of revenue for the bank's four products*

Answer: Interest generated, commission earned, perhaps an overnight float option, synergies or economies of scale from cross selling.

**Prompt 3: Profit Margins** – *The Interviewee should ask for the bank's profit margin on each of these products in order to estimate a commission structure.*

*Information to be given if asked:*

The profitability is as follows:

- CD's: 2% with an average \$4,000 initial deposit
- Checking: 4% with an average \$2,000 initial deposit
- Mutual Funds: 1% with an average \$8,000 initial deposit
- IRA's: 2% with an average \$4,000 initial deposit.

**Prompt 4: Incentive Program Options** – *The Interviewee should arrive at a profit margin of \$80 per product and constrain his incentive program within this range. Explore at least four different incentive options.*

Answer: A fixed fee per product, a percentage of the profits, a fixed fee for a certain number of products sold that would decline after a threshold, or a variable commission depending based on products and spreads.

**Prompt 5: Criteria for selection of incentive program** - *Ask the Interviewee what information he would need to determine the best incentive program for the bank*

Answer:

Profitability - The ease of sale, whether all tellers are equally effective sellers, profit per teller or per customer, estimated commission as a percentage of current salary, cost of incentive program

Human Capital – The program that best motivates employees to sell products and increases retention rate.

*Make an assumption that his choices can be narrowed down to one. In this case, the assumption is that all the tellers are equally effective and that all the products can be sold with roughly the same effort. So what would you base the commission on then? Why?*

Answer: Fixed fee option as it is a straightforward incentive and has a large upside for employees. Also administration costs are relatively less.

**Prompt 6: Cost of incentive program** - *Steer the Interviewee toward discussing the cost structure of the incentive program. The Interviewee should ask about the present salaries of the tellers and the expected sales/teller.*

*Information to be given if asked:*

- Salary per year per teller: \$18,000 - 32,000
- Note that there is no relationship between teller's ability to sell and years of experience.
- Expected sales/teller: five products per week.

Answer:

Average teller salary \$25,000 per year

Annual sales/teller = 250 products (5 products per week \* 50 weeks per year)

## Conclusion

Suggested incentive:

- Commission fee of \$10 per product. (Interviewee's assumes 10% commission)
- New profit margin =  $\$(80 - 10) = \$70$

**Author's Commentary/Notes** - *Interviewee may suggest necessary adjustments in internal processes for the incentive program to work.*

Suggested Answers

- Tracking field in their accounting system to associate correct teller ID with sales made
- Changes in payroll systems
- Sales training program for tellers
- Effectiveness study to measure impact on employee retention/satisfaction



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## Case #8

**Company:** Accenture (Round 2)

**Topic:** Market Entry

**Industry:** Professional Car Racing

### About the Case

*This is a market entry case with an interesting choice of industry – professional car racing. The case hinges on a revenue-cost framework and introduces the candidate to the unique aspects of the industry's revenue model, namely sponsorship, merchandising, licensing rights etc. While the scope of the case may be defined by the revenue-cost analysis, the candidate has ample opportunity to explore various other aspects of market entry decision-making that come into play.*

### Defining the Problem

Your client is the owner of UPS #88, a racecar on the NASCAR tour. It races in the Nextel Cup, a points-based championship where the season winner has accumulated the most points over the course of the racing season. There are 36 races in total, running from February to November. Dale Jarrett, a well-known celebrity driver, races for the team. Dale helped win the Nextel Cup three years ago, and so far this year is eighth in a field of 43 drivers.

A close friend who is the VP of marketing at Home Depot recently contacted the client. She inquired about sponsoring a second racing team with the client. She recognizes that NASCAR is the fastest growing segment among males ages 18-45. She also has talked to a successful driver from a regional drag racing circuit to try out as the driver of the team.

Evaluate the potential of this opportunity.

**Prompt 1: Revenue and cost structure** – *The candidate should present an overview of his approach to the case and develop a framework. A profitability analysis should follow, with the candidate requesting revenue and cost information. Interviewer should probe candidate on the sources of revenue in this market before providing the following information. This question is designed to evaluate candidate's approach to analyzing an unfamiliar industry; interviewer should be aware that some/all of his answers may not match the following information*

*Information to be given if asked: **Exhibit 1***

**Prompt 2: Cost structure** – *The candidate should continue within the profitability analysis, now looking at costs. Allow the candidate to breakdown the costs into relevant cost categories before providing the below-mentioned information.*

*Information to be given if asked:*

- Total Costs - \$20 million
- **Exhibit 2**

**Prompt 3: Marginal Cost of New Team** – *The candidate should naturally progress into inquiring about the incremental costs associated with adding another team to the fold. If interviewer observes that the candidate needs direction, prompt him/her by asking: "What is the minimum amount of money that the client should ask for from Home Depot?" The candidate should take this as a cue to discuss the costs of the new team.*

*Information to be given if asked:*

- The costs affected w.r.t. addition of a new team are Salaries, Equipment, and Travel. The other two cost components are associated with the engine shop.
- Specifically,
  - Race-Facing costs will double
  - Equipment costs will double
  - Travel costs will double

**Author's Commentary/Notes:** *This information has been provided for the candidate to compute the sponsorship fees that the client should charge Home Depot for the deal.*

Answer: \$10 million (\$4 million + \$5 million + \$1 million) assuming that the entire marginal cost of new team is borne by Home Depot

**Prompt 4: Potential for charging premium** – *The interviewer should ask candidate to evaluate the possibility of charging a premium to Home Depot for the sponsorship. Note that there is no right/wrong answer here; rather interviewer should evaluate response basis candidates' rationale. Multiple answers are acceptable here. This answer key is not exhaustive.*

Answers:

Option 1: Yes, we should charge a premium — Home Depot seems to have already made some commitment to the deal by conducting initial negotiations with the potential driver. Therefore client has bargaining power. Premium can be justified by providing Home Depot with an acceptable Return on Investment analysis.

Option 2: No, we should not charge a premium —Home Depot has several other options to sponsor, including 1) another race team, 2) another sport (e.g., baseball), 3) another racing circuit (e.g., Formula One)

**Conclusion:** *Ask the candidate to wrap up the case. Inform him/her that the owner of the UPS #88 racing team has called for an update and that the candidate should inform him of his/her findings with a clear go/no-go decision.*

#### **Author's Commentary/Notes:**

*The candidate may take this case in several different directions, including questions about the Nextel Cup season, driver eligibility, and if points are tallied based on team or individual driver performance (individual driver). Some candidates might recommend waiting until the beginning of the next racing season in order to spread costs across more races.*

*Other potential points include the natural tension between adding a new team and the allocation of resources (e.g., high quality mechanics from Dale's team may work with the Home Depot car, thus diluting the quality of performance of Dale).*

*Potential risks certainly include adding a new driver who has only drag racing experience. This driver would probably not contribute to merchandising revenue, due to his relative anonymity. There is some validity, however, to the point that salaries for the new team may be lower because the new driver lacks the name recognition of Dale Jarrett.*

*Finally, the total cost of equipment may be lower than average due to the ability to leverage the engine shop technology. Some candidates might recommend closing the engine shop, but we have no margin information to substantiate this.*

## Exhibit 1

| Revenue Sources UPS#88   | % of Revenues |                                                                                                          |
|--------------------------|---------------|----------------------------------------------------------------------------------------------------------|
| Sponsorships             | 60%           | UPS dominates, other sponsors include Outback Steakhouse and 3M                                          |
| Nextel Cup Race Winnings | 25%           | One can win from \$50K - \$1MM depending on how one finishes and the significance of the particular race |
| Selling Engines          | 10%           | Strong R&D shop. Engines are sold to professional drivers domestically.                                  |
| Merchandising            | 5%            | License out production to third-party. T-shirts and caps are a small revenue source                      |

## Exhibit 2

| Cost Sources UPS#88  | % of Costs |                                                                                                                                                               |
|----------------------|------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Salary               | 40%        | 'Race-facing' costs make up 50% (Mechanics and Dale Jarrett); 'Non race-facing' costs make up the remaining 50% (engine shop technicians, HR, accounting etc) |
| Equipment            | 25%        | Race cars, engines, parts (sheet metal)                                                                                                                       |
| Travel               | 5%         | Getting to and from races                                                                                                                                     |
| Leisure, engine shop | 10%        | Leasing of land in rural North Carolina                                                                                                                       |
| R&D                  | 20%        | Engine shop technology improvements                                                                                                                           |





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## Case #9

**Company:** NA

**Topic:** Market Entry, M&A

**Industry:** Life Sciences

### About the Case

*This is a “Go to Market” case combined with a piece on M&A. The case is structured on the 3C’s framework and combines the following two questions:*

- *What are the core competencies of this company?*
- *Do they have the funds to develop the capacity in-house, or should they be looking for a partner or buyer for the patent?*

### Defining the Problem

A small life science technology startup, One For The Road, Inc., (ORI), has invested a huge amount of money in R&D and was recently granted a patent for a new breakthrough product. The client wants to know what approach it should take to commercialize the product.

### Information Gathering

*Read this information well before you administer the case. This section of the case is exploratory in nature so make sure that the candidate has come up with a healthy list of questions before proceeding.*

*Information to be given if asked:*

- How long is the patent protection? 10 years
- Are there any competitors? No. This product would create a new market
- Market potential? The client expects sizable immediate demand
- How much money has been invested in R&D? Substantial amounts

**Prompt 1: Market Strategy** – *Discuss the following aspects with the candidate*

- Managing hyper growth
- Optimal acquisition strategy (new customers)
- Appropriate pricing via EVC analysis

**Prompt 2: Operations Strategy** – *Discuss the following aspects with the candidate*

- Costs: fixed and variable
- R&D Resources/Strengths
- Required Capabilities: Buy, Build, or Partner?
- Manufacturing: in house vs. outsourcing
- Marketing & Sales
- Distribution Channels

**Prompt 3: Finance Strategy** – *Discuss the following aspects with the candidate*

- Debt vs. Equity to finance growth
- Timeline to break even

**Prompt 4: External Factors** – *Discuss the following aspects with the candidate*

- Legislation
- Suppliers of raw materials

**Prompt 5: M&A potential** – Ask the candidate to discuss various entry strategies available to the client w.r.t introducing the product in the market.

Answer:

ORI has several options:

- Acquire a company that provides manufacturing and marketing capabilities
- Joint venture with another company
- Outsource manufacturing, marketing and distribution channels
- Grow skill sets organically, ergo more slowly

**Prompt 6: Evaluating M&A options** – Ask the candidate to evaluate the pros and cons of the different strategies suggested above

Answer:

Given that ORI is a small R&D lab, its core competency is not in the area of manufacturing, marketing, and sales. ORI should certainly pay attention to the profitability of these strategies, but also bear in mind the risk (while going alone may allow ORI to keep all the profits, it has many more pitfalls than teaming with an established player in the industry.)

The following comparison matrix presents the pros and cons of the various strategies

| Criterion                    | Develop capability internally | Get external partners |
|------------------------------|-------------------------------|-----------------------|
| Speed                        | Slow                          | Fast                  |
| Cost Benefits                | Expensive                     | Cheap                 |
| Growth / Future capabilities | Fast and sustainable growth   | Slow growth           |

**Prompt 7: Patent pricing strategy** – Inform the candidate that ORI has decided to sell the patent to an established pharmaceutical firm and ask him how he might derive an acceptable price for the product from the pharmaceutical company.

Answers:

- Conduct Economic Value to the Customer (EVC) analysis
- Surveys to potential customers in order to conduct a conjoint analysis
- Chance to price discriminate among segments (if it can tweak product attributes)
- Analyze past introductions of new products for historical sales trends
- Focus group experiments in separate, comparable regions (to find price elasticity)
  - Lower the price in one and raise the price in the other
  - Compare the sales volume over a period of time



**Prompt 8: Consumer segmentation** - *Inform the candidate that the new market has two segments, healthcare providers and home users and ask him to list some differing characteristics between the two groups that might affect the client's marketing strategy.*

Answers:

| Criterion                  | Healthcare Provider                                                | Home User                              |
|----------------------------|--------------------------------------------------------------------|----------------------------------------|
| User's preferences         | Cost, Maintenance                                                  | Ease of use, reimbursable costs        |
| Who is the Decision Maker? | Doctor / Procurement Manager                                       | User / Parent / Spouse                 |
| Contact strategy           | Trade shows, Direct marketing                                      | Doctor(push) / TV, or print ads (pull) |
| Resource requirements      | Experienced sales force to convince doctors or procurement manager | Convenience, ease of use               |



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## **Case #10**

**Company:** Deloitte

**Topic:** Human Capital

**Industry:** Technology

### **About the Case**

*This is a Human Capital Case and thus contains an approach much different from the usual “Strategy” case. However the candidate should not abandon the use of a framework. Here the focus isn’t so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate along.*

### **Defining the Problem**

The merger of two major technology companies forged a team of 140,000 employees with capabilities in 160 countries, doing business in 43 currencies and 15 languages. Contested by key members of the board until the final hours of the transaction, the merger had a media “fishbowl” effect. In addition, myriad rumors regarding layoffs heightened internal anxiety. The client needed to quickly formulate a strategy to deal with the rumors, stabilize the workforce, and set the strategic agenda for change.

## Prompt #1

As a member of the project team – how would you structure an approach for the company's executives to successfully address the potential issues and realize the full value of the acquisition?

Answers

Short-term

- Develop and deliver internal and external communications to all stakeholders (shareholders, Board, the Street, acquired employees, legacy employees)
- Deliver honest, detailed communications as soon as possible to stop rumors (Key leadership from both companies should deliver these messages)
- Review both organizations "as is": culture, shared services at both organizations (i.e., HR, Finance, etc.), talent (what kind of skills/people need to be retained at both organizations)
- Conduct a gap analysis between "as is" and "to be"

Long-term

- Solicit feedback: Talk to the employees to find out the rumors/ concerns/ fears/ etc.
- Create a website that with all the information about the merger (include a place to post questions/concerns/issues → make sure these are addressed so people don't feel like it's a black hole)
- Execute: Move new organization towards "to be" state
  - Develop new job roles/functions
  - Talent management (prevent intellectual capital drain)
  - Rationalize redundant services (e.g., HR, finance, benefits, etc) - maybe employ Total Rewards practice
  - Establish the culture of the new organization (not a merger of equals, but the acquired company should not feel like they are losing their identity/culture) through leadership, training, communications, etc.
  - Develop and implement appropriate incentives: You get what you reward/ must be aligned to strategy

## Author's Commentary/Notes

*The candidate should touch on the major points in order to consider the interview a success.*



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## Case #11

**Company:** Deloitte

**Topic:** Human Capital

**Industry:** Financial Services

### About the Case

*This is a Human Capital Case and thus contains an approach much different from the usual "Strategy" case. However the candidate should not abandon the use of a framework. Here the focus isn't so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate along.*

### Defining the Problem

A major U.S. financial services company has just implemented a Client Relationship Management (CRM) system. The goal: To give leadership a real time view into the organization's sales channel. For years, sales teams have maintained client sales information in separate excel spreadsheets. This prevented leadership from having visibility into and a holistic view of sales opportunities, which meant sending multiple requests to sales teams for the latest and greatest information. By the end of fiscal year, all sales teams are expected to migrate their sales data onto this new system, and use it to manage all sales information.

### Prompt #1

*You are the change management lead for this project. How would you get everyone on the system? Who are the various stakeholders? How would you communicate to these stakeholders?*

Answer:

- Definition of Stakeholders: Leadership, Sales teams, and the rest of the organization
- Find out how people in organization like to receive communications
- Identify a change champion (leads one-on-one sessions)
- Technical support/training: how to contact the help desk
- Create a central place for feedback/comments
- Create honest communications (share both the bad and the good)

- Generate excitement/ engagement through a fun and well- branded communications campaign (all communications/ marketing should use this brand/identity)
- CEO Webcast (announcing the change initiative)

### **Prompt #2**

*After the candidate has laid out his/her plan proceed with the following question.*

Do you see any other change issues? How would you address them?

Answer:

- Training (web based and classroom based) for sales team and technical support
- Design and implement incentives/ tie to Performance Management
- Create success metrics

### **Prompt #3**

*At the end of the case pose these questions to further test the candidate's acumen in dealing with change management.*

How do you measure success?

What do you do if leadership digs in their heels and resists the change?

*Now, let's change things up. Say the system was implemented - without the help of change management - and it failed (i.e., the people have not adopted the new technology). The team brings you on to salvage the project. What would you do?*

### **Author's Commentary/Notes**

*The candidate should touch on the major points in order to consider the interview a success.*





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## **Case #12**

**Company:** Deloitte

**Topic:** Human Capital

**Industry:** Information Technology Services

### **About the Case**

*This is a Human Capital Case and thus contains an approach much different from the usual “Strategy” case. However the candidate should not abandon the use of a framework. Here the focus isn’t so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate along.*

### **Defining the Problem**

Edoceo is a leading global provider of integrated information solutions to business and professional customers. Customers depend on Edoceo for the information and information applications they need to make the right decisions to run their businesses. Edoceo provides information solutions for professionals across a broad range of industries and disciplines.

Edoceo decided to outsource select HR processes including: Recruiting, Benefits Admin, HRIS, HR Admin, L&D, Compensation, Domestic Relocation, Expatriate Admin, Payroll, HR Contact Center. Edoceo is working with one of Deloitte’s competitors to implement the outsourcing transition. The initiative’s objective is to realize cost savings (10%-20%) of total current annual costs over five years, while maintaining equivalent levels of service.

In parallel, Edoceo intends to transform the retained HR organization, creating internal Centers of Excellence (COE) and developing HR Business Partners to support with outsourced services. Edoceo has hired your team to provide best practice guidance and implementation leadership. How would you design and implement optimal COEs and HR business partner capability for this organization and how would you structure the project?

### Prompt 1:

- How would you describe a successful outcome for this project?
- How would you structure your project?
- What else should Edoceo be considering as it implements the outsourcing and development of the COEs?

### *Information to be provided during the conversation*

- There was a cost reduction effort that the organization was undergoing that required an evaluation and shift in HR support. Finance and IT were to follow.
- Inefficiency and complexity of the existing HR organization were the driving forces of the outsourcing.
- The functions intended for COEs are: Benefits, Compensation, Recruiting, Talent Management, HR Decision Support, L&D, Org Development, Diversity, and Policy, Compliance and M&A.
- There is no current assessment of the HRBP role today, and each Market Group runs its own entity. The vision for the HRBP is to be: provide business unit specific and consultative services to executives and line managers for the people-related issues impacting their business unit. Business Partners “broker” technical talent from the COEs to deliver HR solutions.
- Considerable job redesign and capability assessment will be conducted for retained positions
- There is significant concern among staff in retained functions about the long term safety of their jobs

### Answer

- Successful outcome – candidate should discuss the business perspective and specifically the role of retained HR in an outsourced environment.
- How to structure project: Follow some type of Plan, Build, Run approach, for example:
- Plan & Assess
  - As-Is Inventory
  - Define staffing strategy COE & Business Partner strategy
  - Reporting & metrics strategy
  - Stakeholder analysis
  - Change readiness assessment
  - Communication and change strategy
- Design
  - Process design, COE and Business Partner development
  - Build communication, change and training materials and implementation plan
- Build & Implement
  - Build out processes designs and COE structure
  - Deliver training materials for the new positions and processes
- Support & Integrate
  - Ensure effective interactions with outsourced functions and larger organization

- Other considerations:
  - How to prevent/deal with:
  - Service disruption
  - Performance/morale issues
  - Attrition, loss of key talent
  - Links to other initiatives

### **Author's Commentary/Notes**

*The candidate should touch on the major points in order to consider the interview a success.*



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## Case #18

**Company:** Deloitte

**Topic:** Human Capital

**Industry:** Distribution

### About the Case

*This is a Human Capital Case and thus contains an approach much different from the usual "Strategy" case. However the candidate should not abandon the use of a framework. Here the focus isn't so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate along.*

### Defining the Problem

Your client is the nation's largest distributor of electrical and communications products. The 150-year old company distributes more than half-million products (1.5 million SKUs) made by multiple manufacturer/suppliers through 256 branches and warehouses in the US. Given that they are the middle-men, margins in the distribution industry are very thin.

The company has been generally decentralized with a high degree of branch autonomy (branch and district managers are kings of their own domain). Each branch has its own processes with considerable off-system accounting and record keeping on Excel spreadsheets, etc. Given growth over the last decade, the home-grown mainframe computer system can no longer effectively handle the volume of transactions. In addition, the time required to reconcile and report sales, inventory, and financial information from the branches to corporate is hindering senior management's ability to make timely business decisions.

To address these issues, the client is undertaking a major business transformation program. They will reengineer most business processes (sales, marketing, forecasting, logistics, finance, customer service) and are implementing one system for everyone in the company that will provide real-time information and a 360 degree view of the business. Senior management anticipates a high degree of resistance from the branches. Branch leadership feels the system and processes from corporate will not understand their needs and threatens their autonomy. Past initiatives have struggled because people were not adequately prepared for the changes. Employees are worried

about how their jobs will change and whether they will have the skills to do their jobs within the new system.

### **Prompt #1**

*How would you assist the client to successfully manage this large scale change program?*

Answer

- **Leadership Alignment and Visibility/Sponsorship:** Facilitate leadership at corporate to “sing from the same page.” Then, enable corporate leadership to engage district and branch leaders. Clearly explain why the changes are required in the competitive business environment and why their leadership is needed and how they will be rewarded. In times of large scale changes, there should be a high degree of leadership visibility. Employees need to know that their leaders (at corporate and branches) are behind this effort and they need to hear this directly from their leaders. Provide talking points and support to make it easier for them to communicate to employees.
- **Communications:** Develop a comprehensive communication strategy for internal and external audiences. Explain to employees the business case for change, “what is in it for them,” and how their jobs will change. Communications should be timely and consistent to stem rumors. Similarly, there should be a communications strategy for suppliers and customers to explain how service will improve to assure them there will be no disruptions.
- **Workforce engagement:** Engage employees from as many branches as possible in the design and implementation of the new process and system. Gather input on their business requirements throughout the lifecycle of the project. Conduct roadshows out to the branches. Use trainers from each of the branches to train end users. Engage branches and employees so they take ownership of the system.
- **Organizational Reinforcement/Incentives:** Make sure those who are providing input, championing and, adopting the system are recognized, rewarded, and utilized as change agents.
- **Training:** Profile how jobs will change and train employees thoroughly on the new process and system. Hands-on training close to the “go-live” and relevant to employees’ jobs tends to be most effective.

### **Author’s Commentary/Notes**

*The candidate should touch on the major points in order to consider the interview a success.*



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## **Case #14**

**Company:** Deloitte

**Topic:** Human Capital

**Industry:** Generic

### **About the Case**

*This is a Human Capital Case and thus contains an approach much different from the usual “Strategy” case. However the candidate should not abandon the use of a framework. Here the focus isn’t so much on the bottom line as it is on the approach needed to manage the proposed changes in the organization. The case should be carried out in a conversational format with hints and clues to push the candidate along.*

### **Defining the Problem**

Your client is faced with dramatic changes in the industry. As it adjusts its strategy, reacts to changes and anticipates future changes, it is concerned about its ability to keep its employees prepared for the challenges they will face. The client is also concerned about its traditional approach to learning and development and has questions about the return on investment of its programs.

Your team was retained to help assess the effectiveness of the organizations learning center, develop a go forward learning strategy, and to select and implement an “appropriate” enterprise learning management system (LMS) solution that will allow the client’s learning center to successfully execute its learning strategy while simplifying its operational processes and allowing it to scale for future growth.

### **Prompt #1**

*What approach would you take to assessing the client's current learning capabilities and developing the go forward strategy? What issues would you consider regarding the selection and implementation of the Learning Management System?*

Answer

- Review current learning activities - balance of instructor-led training, e-Learning, and other learning methods
- Degree of learning assessment used (Reaction, Learning, Transfer, Results)
- Meet with leadership to determine requirements of new strategy
- Review individual learning plans
- Skill gap analysis
- Assess ability of existing programs to address needs, identify needs for additional learning programs

Specific system selection and implementation components candidate may consider:

- Integration with HRIS system
- Data migration, system configuration, and interface development
- Self-service registration
- Degree of network vs. remote access
- Scalability

### **Author's Commentary/Notes**

*The candidate should touch on the major points in order to consider the interview a success.*

## Case #15

**Company:** A.T. Kearney (Round 1)

**Topic:** Market Entry, Competitive Analysis

**Industry:** Hospitality

### About the Case

*This case has a center piece that is quantitative in nature; the rest of the case may explore various aspects of the market entry decision-making process and does not follow a specific sequence. The case focuses on two key focus areas - the attractiveness of the market [Market sizing and five forces] and long term profits [Sustainability, barriers to entry, core competencies and signaling].*

*This case allows you to handle various issues at different points, so ask the candidate to choose a starting point, but challenge the candidate probe to give strong reasons to validate his/her choice. An example would be: "I'd like to start by reviewing the company's core competencies because I want to see if this fits into their development model..."*

### Defining the Problem

Your client is a real estate developer and is currently assessing a new project idea.

Costa Rica has a beautiful coastline which has historically been difficult to access. The nearest airport was over six hours away. As of last year, a new airport was constructed only a half hour away. There has been an investment boom in the region due to the increasing number of tourists (popular with Americans and Asians). The Mandarin Oriental and The Four Seasons, two prominent luxury hotel chains, were the first to enter this market with a 250-room hotel each.

Should your client invest in the tourism opportunity created by the new airport? Would you recommend that s/he enter the market?



## Information Gathering

*Read this information well before you administer the case. Provide the following information on request.*

### Prompt 1: Core Competencies

The client has focused on hi-rise apartments (50%) and luxury condominiums (50%) in the past but wants to enter the hotel arena.

**Author's Commentary/Notes:** *The key insight here is that the client has past experience in constructions of a similar type, but has no direct experience in the hotel industry or service operations.*

They have focused on world-class beaches, such as Playa del Carmen, Marbella, Coral Beach, Tahiti, Fiji, Maldives, Mikonos, etc.

**Author's Commentary/Notes:** *The insight here is that this client probably has good judgment in spotting travel locations and has a successful track record with the construction of prime properties.*

### Prompt 2: Market Attractiveness

- Market size - 875,000 tourists per year (assume 350 days in a calendar year)  
Average duration of stay per tourist - 4 nights
- Average hotel check - \$2,000.
- Others - In terms of tourists, you depend on government spend on advertising, on travel agents, and on the network effect of the existing hotels in the area.

Answer:

3.5 million tourist nights / 350 days = 10,000 tourists / night

\$2,000 average check/ 4 days average stay = \$500/night

**Prompt 3: Five Forces Analysis** – *This part of the case is exploratory; interviewer should prompt the candidate to list several factors*

- Competitiveness - Other hotels chains that are thinking of entering the market are Starwood, Peninsula, and Imperial Hotels.
- Supplier Power - The local labor market offers a huge supplier of workers (very positive)
- Substitutes - You are fighting with every other “paradise-type” destination, from Disneyland to Vegas to Bermuda. Interest in this area, however, is sky high.
- Barriers to Entry - Government regulations, high capital requirements, unavailable beachfront property.
- Buyer Power – The recent consolidation among travel agencies and proliferation of e-vendors put buyers in a powerful position.

**Author’s Commentary/Notes:** *The key takeaway here is that despite the competitive nature of the market it is large enough to be profitable, and client has desired capabilities to successfully compete. The level of resources required would be a barrier to entry and maybe there are others that need to be investigated--such as government permits, access to sewage, water, etc.*

**Prompt 4: ROI analysis** – *Inform the candidate that client has already short listed three available lots. Ask him/her to recommend one of the three such that Return on Investment is maximized? (Show **Exhibit 1**)*

**Author’s Commentary/Notes:** Note:  $ROI = \text{Profit} / \text{Investment}$ . Give the candidate several minutes to generate these numbers. A solid candidate will be vocal during the calculations, and may even introduce a written version of the match. That means that instead of just writing numbers, the candidate will write out formulas, such as...

Revenue = Revs per night \* number of nights \* number of rooms \* nights per year \* occupancy rate

*By doing this, the candidate demonstrates knowledge of the situation. If a math error comes about, it is much easier to correct and the interviewer recognizes that the candidate has already shown a strong grasp of the problem.*

Answer:

Option 1: Lover’s Lair

- Operating Profits:  $((\$450 \text{ revenue} - 250 \text{ operating costs}) * 500 \text{ rooms}) * 350 \text{ nights/year} * 50\% \text{ occupancy rate} = \$17.5 \text{ million operating profits/year (a)}$
- Initial Investment:  $30,000 \text{ cost/room} * 500 \text{ rooms} + \$2,000,000 \text{ land} = \$17 \text{ million (b)}$
- Net Profit:  $(a) - (b) = \$500,000 \text{ (c)}$
- ROI:  $(c) / (b) = \$500,000 / 17 \text{ million} = 2.9\%$

#### Option 2: Paradise Lost

- Operating Profits:  $((\$400-200) * 1000) * 350 * 50\% = \$35 \text{ million}$
- Initial Investment:  $28,000 \text{ cost/room} * 1000 \text{ rooms} + \$4 \text{ million land} = \$32 \text{ million}$
- ROI:  $\$3,000,000 / \$32 \text{ million} = 9.4\%$

#### Option 3: Fookwah Heights

- Operating Profits:  $((\$350-150) * 1500) * 350 * 50\% = \$52.5 \text{ million}$
- Initial Investment:  $\$25,000 * 1,500 \text{ rooms} + \$6 \text{ million land} = 43.5 \text{ million}$
- ROI:  $9 \text{ million} / 43.5 \text{ million} = 20.7\%$

**Prompt 7: Factors determining project feasibility** – *Ask the candidate to list factors to be considered in determining the feasibility of the project*

Answer:

Good Concerns:

- Competition (what are they focusing on? will it flood the market?)
- Strategy (Where will you compete--low cost, high service, best in class, packages?)
- How should the developer finance the building? Since the hotel will bring jobs maybe the government can help with some tax deductions, free services, etc...

Great Concerns:

- How can they leverage their experience, what values from their other business can they leverage? Would they manage the hotel or build it and then find an operating partner like Starwood or Hilton?
- What are the existing barriers to entry, how would you change them to insure a greater degree of success?

*After the candidate offers his/her insights, tell him/her to focus on ROI, first with the room prices specified in **Exhibit 1** and then with the market room price (\$500).*

**Conclusion:** *Ask the candidate to conclude the case with a “go/no go” decision, supporting it with the insights drawn through out the case. Probe into additional concerns the client needs to address.*

## Exhibit 1

|                 | Land Cost    | Cost/room | Operating Cost | Room Capacity | Price/night |
|-----------------|--------------|-----------|----------------|---------------|-------------|
| Lover's Lair    | \$ 2,000,000 | \$ 30,000 | \$ 250         | 500           | \$ 450      |
| Paradise Lost   | \$ 4,000,000 | \$ 28,000 | \$ 200         | 1000          | \$ 400      |
| Fookwah Heights | \$ 6,000,000 | \$ 25,000 | \$ 150         | 1500          | \$ 350      |

### NOTE:

- Average occupancy 50%
- No. of operating days in a year: 350
- Operating expenses are 100% variable
- At ROI 10%, company target is to recover investments within one year



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## **Case #16**

**Company:** Katzenbach (Round 2)

**Topic:** Valuation

**Industry:** Internet Portal

### **About the Case**

*This is a valuation case and involves assessing the potential threat of competition's merger to the business. The case is primarily qualitative in nature and tests the candidate's conceptual understanding of M&A activity and overall business knowledge/judgment. The case offers the candidate several opportunities to be creative in problem-solving. A quality candidate will imbue the discussion with structure, creative solutions, and demonstrate knowledge of current business landscape.*

### **Defining the Problem**

You have been hired by the internal strategy group at Yahoo. You are asked to analyze the recent acquisition of YouTube, an online video community, by Google for \$1.6 billion. Is this move a competitive threat for Yahoo?

**Prompt 1: Core Competencies and Overall Situation Analysis** - *The candidate should think about the acquisition against the backdrop of the core competencies that each firm brings to the table. There are no absolute right/wrong answers; one approach is outlined below.*

Suggested Answer: Yahoo has positioned itself as a destination site. It wants consumers to go to Yahoo! and explore all of its wonderful services, spending time and money there. Time means that advertisers' ads are more likely to be clicked. Money means that Yahoo! is making e-commerce transactions, or selling subscriptions to premium online services. It tries to promote a sense of community among its users.

Google has spent its early years as a search engine. To 'google' has become synonymous with search. To take advantage of this brand-name recognition, Google pioneered advances in ad-based software that allowed businesses to better target consumers segments based on the particulars of the search. Google has the "eyeballs" of the consumers, but it doesn't have the

consumers' wallet. It wants to monetize all this traffic.

The acquisition of YouTube by Google is a competitive threat. YouTube is a move toward creating a community. The company spent \$1.6 billion because it believes it will be able to monetize this traffic somehow.

**Prompt 2: Competitive Response** – *Inform the candidate that Yahoo wishes to counter this threat and assume that feasibility and cost are not a concern at this point. Ask the candidate to develop a competitive response and give candidate creative license. There are no absolute right/wrong answers; some ideas are outlined below.*

**Author's Commentary/Notes:** *The candidate should ask for a moment to collect his/her thoughts, and ideate creative solutions*

Suggested Answers:

- Create an offering to counter YouTube for the Yahoo community
- Buy Google
- Find a way to share real-time videos among friends from mobile devices or wristwatches. This would involve a cross-selling strategy with a partner
- Create backdrops (or allow open source coders to create them) from historical events or sporting arenas or famous movies, and enable people to be able to re-enact scenes or create new ones (An example of this might be a rock stadium backdrop and you and your friends can jam on instruments and make a rock video)

**Prompt 3: Customer acquisition** – *Provide candidate the hypothetical situation in which Google decides to proceed with the YouTube acquisition and believes that it can charge \$150 per user annually and make 67% margins. Ask the candidate to compute the time taken to recover the acquisition costs.*

*Information to be given if asked:*

- User base: 40 million
- Discount rates should be ignored
- Assume no user base growth or attrition.

Answer:

User base: 40 million

Acquisition Cost = \$1.6bn

Therefore, Margin/user needed to recover acquisition cost = \$40

Actual Margin/user = \$100 per year

Therefore Google will recover acquisition cost in less than 6 months.



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## **Case #17**

**Company:** NA

**Topic:** M&A, Valuation

**Industry:** Industrial Chemicals

### **About the Case**

*This is an M&A case and includes a piece on valuation. The frameworks used in this case include Porters Five Forces Analysis, Competitive Analysis and issues characteristic of M&A activity such as human capital and legal/financial considerations. Most of the case is qualitative in nature with the exception of valuation. Accordingly depth and flow of discussion is at the discretion of the interviewer.*

### **Defining the Problem**

Your client Chemical Brothers International (CHEMBRO), is a major chemical producer, has retained your firm's services to evaluate the feasibility of acquiring another major player in the industry, Plastics of America (POA). Both companies are bulk commodity chemical producers. Your task is to analyze the future prospects of POA's major product line, a chemical used in the production of plastics.

Should Chembro acquire POA?

### **Information Gathering**

*Read this information well before you administer the case.*

**Prompt 1: Hypothesis Testing** - *The Interviewer should ask for initial thoughts on possible motivations for acquiring POA. This is an open-ended question; possible answers follow. Discuss briefly some of the concepts mentioned below and proceed to next prompt. What could be the purpose of this acquisition?*

**Prompt 2: Strategic Issues** – *The interviewer should question the candidate about the overall strategic issues that need to be addressed in evaluating an M&A proposal. The idea here is to get a sense of the candidates' business judgment and whether or not he/she is able to apply correct frameworks to diagnose the issue at hand.*

**Author's Commentary/Notes:** *A strong candidate will recognize that this case deals with internal factors (synergies and economies of scale) as well as some external factors (opportunity costs and industry attractiveness). The candidate should include some of the following elements in his framework:*

- Market Attractiveness / Industry Potential
- Operational Analysis (Synergies/Economies of Scale/ Network Externalities)
- Organizational and cultural compatibility
- Capability to enact acquisition: Financial, legal, and perceptual barriers

### **Market Analysis**

- End-users come primarily from the automotive industry
- Market size has been slowly declining over the last five years
- Within the last couple of years, prices have declined rapidly

### **Competition / Industry Analysis**

- There are 10 major producers; the largest one with a 35% share; number two has 25%, and POA is third with 20%; the remaining share is divided amongst others
- The two largest competitors earn a small return; POA is slightly above break-even; the rest are operating at break-even or at a loss
- Relative capacity utilization in the industry is 60 to 70 % and has been so for the last 3 years. POA is also currently working at 75% of capacity
- The two largest competitors are highly diversified with this particular product line representing no more than 20% of their revenues
- Highly regulated industry with expensive pollution control equipment
- High barriers to entry because of the low profits and high investments required

### **Product value proposition / brand portfolio**

- The price has been driven by self-destructive cuts from the leaders to gain temporary share points
- We do not foresee the development of any significant byproducts.
- Other possible uses: None.
- Complementary Assets: 50% of POA's sales are to the automobile industry



## Finance and Operations

- Cost is based on size/efficiency/age of plant, etc. Within the industry, POA is in an above-average position.
- There are several operational improvements that could be implemented, and management has not been aggressive in its pursuit of quality and cost controls.
- Great economies of scale exist in marketing and transportation. (Not quantifiable)
- Operational synergies could represent an additional \$30 million in profits

**Prompt 3: Valuation** – *Discuss the above-mentioned qualitative aspects in some detail, and provide the candidate with Exhibit 1 when the conversation shifts to the topic of valuation. Ask candidate to compute the present value of acquisition. You may allow the candidate to use 10% rate of return and not 9% if requested. However ask him the effect on NPV of a higher vs. lower discount rate, to gauge his understanding of the concept.*

Answer:

- NPV analysis: Based on the information from Exhibit A, the net present value of the target company is =  $\$90M / (10\%) = \$900$  million (assume perpetuity), which is less than the purchase price tag of \$950 million.
- Industry Attractiveness: not particularly attractive, unless the larger competitor can use economies of scale and dominant position for economic gain.

**Author's Commentary/Notes:** *The above answer meets the interviewer's expectation; however a superior answer would involve the following*

- A more comprehensive NPV would include the new cash flow from synergies, as well as the previously calculated NPV. Therefore the  $\$900 \text{ million} + [\text{Synergies } 30M / (12\% - 3\%) = 333M] = \$1,233M$  value of target > 950 price tag
- In addition to the cash flows expected from synergies, the potential economies of scale and tax advantages from funding the acquisition with debt could be seen as other sources of revenue. These considerations further improve the deal.
- Competitive and regulatory responses to block the merger are reasonable to assume due to concerns over industry concentration.
- Benchmarking the value of the POA acquisition to other similar M&A in the industry. Consider what multiple of operating profits other acquisitions been valued at?

**Conclusion:** *Ask the candidate to conclude the case with a recommendation. His wrap-up should clearly include a "go / no go" decision followed by quantitative (valuation) and qualitative (industry and compatibility analysis) facts.*

## Exhibit 1

|                                           |              |
|-------------------------------------------|--------------|
| <b>Purchase Price</b>                     | <b>\$950</b> |
| <b>Annual operating income before tax</b> | <b>\$90</b>  |
| <b>Cash</b>                               | <b>\$30</b>  |
| <b>No. of employees</b>                   | <b>2000</b>  |
| <b>Return on capital</b>                  | <b>12%</b>   |
| <b>Market risk premium</b>                | <b>7%</b>    |
| <b>Growth rate</b>                        | <b>3%</b>    |
| <b>Tax rate</b>                           | <b>40%</b>   |